IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P. (CAA)No.58/BB/2017
U/S 230-232 of the Companies Act, 2013

IN THE MATTER OF
TEXTRON INDIA PRIVATE LIMITED

Order Delivered on: 6TH March 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Textron India Private Limited,
Floor 1 & 2, Tower 2,
SEZ Campus, Global Village, RVCE Post,
Mylasandra,
Bengaluru-560059 - PETITIONER/ TRANSFEREE COMPANY

For the Petitioner :
1) Mr. Saji P. John,SPJ Legal, Unit No.1002, 10TH Floor, #30, Prestige Meridian II M G Road, Bengaluru 560001-Advocate for the Petitioner Company
2) Ms. Prema Hatti, Standing Counsel for Central Government appearing for ROC & RD.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)** – Author

Heard on: 12/10/2017, 15/11/2017, 05/12/2017, 20/12/2017, 17/01/2018, 31/01/2018, 15/02/2018 & 23/02/2018

O R D E R

The Company Petition is filed on behalf of the Petitioner Company under Section 230-232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation of the Transferor Company **Kautex Plastic Technology Gujarat Private Limited** with the Petitioner / Transferee Company and shall be binding upon all the shareholders and creditors of the Petitioner /Transferee Company.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner / Transferee Company seeks an order for sanctioning the Scheme of Amalgamation of **Kautex Plastic Technology Gujarat Private Limited** (Transferor Company) is proposed to be merged with **Textron India Private Limited** (Petitioner / Transferee Company). The Scheme of Amalgamation is shown as **Annexure-A.**

It is averred that, the Petitioner / Transferee Company was incorporated on 2nd April 2004 as a private Limited Company under the name and style Textron Global Technology Center Private Limited. Subsequently the name was changed to **Textron India Private Limited** with effect from 20th November 2007. The Registered office of the Transferee Company is situated at Floor 1 & 2, Tower 2, SEZ Campus, Global Village, RVCE Post, Mylasandra, Bengaluru-560059.

The main objects of the Transferee Company is to engage in the business of design and development services, to provide engineering and technology solutions to the business units of group companies engaged in software and engineering pace, amongst others etc., The copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-B.**

The Latest Audited Balance Sheet of the Transferee Company as on 31st March, 2016, showing assets and liabilities are as follows:

Liabilities	**Amount in Rs.**	**Asset**	**Amount in Rs.**
Share Capital	9,83,55,000	Non-Current Assets	42,60,50,635
Reserve and Surplus	43,81,36,582	Current Assets	33,13,83,415
Non-Current Liabilities	7,81,97,816		
Current Liabilities & Provisions	14,27,44,652		
Total	**75,74,34,050**	**Total**	**75,74,34,050**

The Copy of Audited Balance Sheet of the Petitioner / Transferee Company as on 31st March, 2016 shown as **Annexure C**.

The Transferor Company was incorporated on 13th February 2014 as the Private Limited Company under the name and style **Krishna Kautex Private Limited** with the Registrar of Companies, Delhi & Haryana. Subsequently the name of the company was changed to **Kautex Plastic Technology Gujarat Private Limited** with effect from 19th May 2016 and the registered office was shifted to the State of Karnataka with effect from 24th November 2016 and obtained a fresh CIN bearing No: **U35999KA2014PTC098689**. The Registered office of the Transferor Company is situated at 2nd Floor, No.29, 80 Ft. Road, 4th Block, Koramangala, Bengaluru-560034.

The main objects of the Transferor Company is to do business of designing, tooling, development, testing, manufacturing, assembling, marketing and sale of the automotive plastic fuel tanks, parts and components thereof and provide the necessary services ancillary and incidental thereto, amongst others etc., The Copy of Memorandum and Articles of Association of the Petitioner / Transferor Company is shown as **Annexure-E.**

The Latest Audited Balance Sheet of the Transferor Company as on 31st March, 2016, showing the assets and liabilities are as follows:

Liabilities	**Amount in Rs.**	**Asset**	**Amount in Rs.**
Share Capital	18,00,00,000	Non-Current Assets	51,62,17,726
Reserve and Surplus	(4,05,48,758)	Current Assets	17,96,14,513
Non-Current Liabilities	19,05,30,497		
Current Liabilities & Provisions	36,58,50,500		
Total	**69,58,32,239**	**Total**	**69,58,32,239**

The Copy of Audited Balance Sheet of the Transferor Company as on 31st March, 2016 shown as **Annexure F.**

The Transferor Company is a wholly owned subsidiary of the Petitioner / Transferee Company. Pursuant to the Scheme, no new shares are required to be issued by the Petitioner /Transferee Company to the members of the Petitioner /Transferor Company, as the entire share capital of the Transferor Company is held by the Transferee Company and its nominee. The entire share capital of the Transferor Company will, on the Scheme taking effect, stand automatically cancelled and extinguished. Accordingly, the Petitioner /Transferee Company submits that the present Scheme of Amalgamation by way of transfer of the entire undertaking of the Transferor Company does not affect the rights and interests of the members of the Petitioner /Transferee Company as it does not involve either a reorganisation of the share capital of the Petitioner /Transferee Company or issue of new shares of the Petitioner /Transferee Company. The shareholding and other

rights of the members of the Petitioner /Transferee Company will remain unaffected as no new shares are being issued by the Petitioner /Transferee Company and there will be no change in the capital structure.

It is further stated that Transferor Company is proposed to be merged with the Petitioner/ Transferee Company for the following reasons:

i. The sanctioning of the Scheme of Amalgamation will be for the benefit of the companies who are a party to the Scheme and also their shareholders.
ii. The scheme also does not affect the rights and interest of the creditors of the Transferor Company. The Scheme of Amalgamation is a contract between companies which will not affect the creditors of the Petitioner /Transferee Company.

The Board of Directors of the Petitioner /Transferee Company has approved and adopted the Scheme of Amalgamation by virtue of which **Kautex Plastic Technology Gujarat Private Limited** (Transferor Company) is proposed to be merged with **Textron India Private Limited** (Petitioner / Transferee Company) at the Board Meetings held on 9th January 2017. Copy of Board Resolution is marked as **Annexure-H**.

The Petitioner /Transferee Company had filed C.A(CAA) No.05/BB/2017 before this Tribunal to dispense with the convening of meeting of Shareholders and Creditors of the Petitioner /Transferee Company. This Tribunal vide order dated 3rd August 2017 allowed the Application and dispensed with convening the meeting of creditors and directed to convene the meeting of Shareholders. Copy of Order of this Tribunal in C.A (CAA) No.05/BB/2017 is shown as **Annexure-J**. In the said order, the Petitioner /Transferee Company was directed to convene the meeting of shareholders on 27th September 2017 and also appointed the Chairman and Scrutinizer.

It is further averred that, notices of the said meeting were sent individually to each of the shareholders of the Petitioner Company alongwith copy of the Statement under Section 230(3) of the Companies Act, 2013. The notice of the meeting was also published in **"The Hindu"** English Daily Bangalore Edition and

"**Udayavani**" Kannada Daily news paper in Bangalore Edition on **17th August 2017**. The notice was also issued to the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies-Karnataka, Bangalore, the Income Tax Officer Department and Official Liquidator.

In pursuant to the order of this Tribunal, the Petitioner /Transferee Company convened the meeting of shareholders on 27th September 2017. Mr. Venkatraman Krishnan, Director of the Petitioner Company who was appointed as Chairman has submitted his report dated 27th September 2017. In his report it is stated that, the Equity Shareholders meeting was attended by 3 (three) shareholders and the ballots polled were 3 (three) who have approved unanimously the Scheme of Amalgamation with appointed date as 1st April 2018. Copy of the Chairman's report alongwith Affidavit is shown as **Annexure-K**.

It is further averred that, the Petitioner /Transferee Company had filed C.P(CAA) No.58/BB/2017 before this Tribunal on 3rd October 2017. This Tribunal vide order dated 12th October 2017, directed the Petitioner /Transferee Company to publish the notice of the date of hearing of the Petition in **"The Hindu"** English Daily Bangalore Edition and "**Udayavani**" Kannada Daily news paper in Bangalore Edition within 10 days before date of hearing and also to issue notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies-Karnataka, Bangalore, the Dy. Commissioner of Income Tax Circle 7(1) (1) and stating that the next date of hearing of the present Petition was on 30th October 2017.

In pursuant to the same the Counsel for the Petitioner /Transferee Company has filed **Compliance Affidavit dated 6th November 2017** of the Authorised Signatory of the Petitioner /Transferee Company for carrying out the Advertisement of the Company Petition and issuance of notices alongwith Petition and annexure to the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka, and to the concerned Deputy Commissioner of Income Tax, Circle 2(1) . The Copies of Paper Publication **dated 28th October 2017** are shown as **Annexure A1 & A2** and copies of notice(s) to the above said authorities are shown as **Annexure B, C & D.**

The Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed his report **dated 10th November 2017** and made the following observations:

1) The appointed date as per the Scheme was initially 01/04/2015 which is changed to 01/04/2018 as per Board Resolution dated 27/09/2017. However, the Company has not filed Audited Balance Sheet as at 31/03/2017 with the ROC. Hence, the Petitioner Company may be required to file financial statements for the year ending 31/03/2017 and provide proof of filing.
2) As per clause 9.1 of the Scheme, entire equity shares towards consideration is required to be made by the Transferee Company to the shareholders of the Transferor Company. While that being sop, clause 10.3 of the scheme states that the issued, subscribed and paid up capital of the Transferee Company to be increased consequent to issue of equity shares in accordance with scheme which is contradictory.
3) ROC in his report dated 7/11/2017 has observed that as per the order of the Hon'ble NCLT dated 3.8.2017, the Transferee Company is required to publish the notice of meetings of Equity shareholders in newspapers **"The Hindu"** and "**Udayavani**" but the Transferee Company has not attached the newspaper publication. Also, ROC has observed that in the order dated 21/08/2017 issued to Transferor Company it was mentioned that there are only two secured creditors and they have given their consent, but the order has not mentioned about the holding or dispensing of the meetings of two secured creditors,. However, it is observed that in the affidavit dated 3.10.2017 filed by the Petitioner Transferee Company that notice of the meeting was published in **"The Hindu"** and "**Udayavani**" dated 17/08/2017. It is further observed that in the order dated 21/08/2017 it is stated that secured loan creditors and unsecured loan creditors have all given their consents.
4) That this Hon'ble Tribunal may be pleased to consider the above submissions and to dispose off the petition on merits and pass such other order or orders as deemed fit and proper in the circumstances.

In response to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad, the Counsel for Petitioner /Transferee Company has filed **reply Affidavit dated 21st December 2017** of the Authorised Signatory of the Petitioner /Transferee Company stating that:-

a) The appointed date as per the scheme was initially 01/04/2015 which is changed to 01/04/2018 as per the board resolution dated 27/09/2017. However, the company has not filed audited balance sheets as at 31/03/2017 with ROC. Hence the Petitioner companies may be required to file financial statements for the year ending 31/03/2017 and provide the proof of filing. It is submitted that, the Transferor Company and Transferee Company has filed form AOC-4 and MGT-7 for FY 2016-17 and the copies of form filed along with acknowledgement for filing is annexed herewith as **Annexure-1 and 2.**

b) As per clause 9.1 of the Scheme, entire equity shares of Transferor Company are held by the Transferee Company. Hence, no new allotment of shares towards consideration is required to be made by the Transferee Company to the shareholders of the Transferor Company. While that being so, clause 10.3 of the scheme states that the issued, subscribed and paid up capital of the Transferee Company to be increased consequent to issue of equity shares in accordance with scheme which is contradictory. It is submitted that, clause 10.3 appears due to inadvertence and the Transferee Company may be permitted to delete the same.

c) ROC in his report dated 7/11/2017 has observed that as per the order of the Hon'ble NCLT dated 3.8.2017, the Transferee Company is required to publish the notice of meetings of Equity shareholders in newspapers **"The Hindu"** and "**Udayavani**" but the Transferee Company has not attached the newspaper publication. Also, ROC has observed that in the order dated 21/08/2017 issued to Transferor Company it was mentioned that there are only two secured creditors and they have given their consent, but the order has not mentioned about the holding or dispensing of the meetings of two secured creditors,. However, it is observed that in the affidavit dated 3.10.2017 filed by the Petitioner transferee company that notice of the meeting was published in **"The Hindu"** and "**Udayavani**" dated 17/08/2017. It is further observed that in the order dated 21/08/2017 it is stated that secured loan creditors and unsecured loan creditors have all given their consents. It is submitted that, the notice was published by paper publication, a compliance affidavit dated 15/09/2017 is filed along with the publication. Further, regarding the other observations it is submitted that there were only 2 secured creditors in the Transferor Company who had given their consent by way of affidavit and the same was filed with this Tribunal. Further meetings were not directed. Copy of newspaper publication, copy of compliance affidavit filing acknowledgement and consent letters of secured creditors is annexure herewith as **Annexure-3,4 and 5** respectively.

The Counsel for the Petitioner /Transferee Company has also filed the copy of Accounting Treatment Certificate of the Chartered Accountant **dated 20th February 2017** stating that the Accounting Treatment contained in the Scheme of Amalgamation is in conformity with the Applicable Accounting Standards 14 in the Petition of the Petitioner /Transferee Company. As per Clause No.11 of the Scheme, the Transferee Company will follow **Pooling of Interest Method** as prescribed under Accounting Standards 14 which is shown as **Annexure-L**.

This Tribunal vide its order dated 15th February 2018 in **C.P(CAA) 51/BB/2017** filed by the Transferor Company viz., **Kautex Plastic Technology Gujarat Private Limited** have approved the Scheme of Amalgamation by virtue of which the Transferor Company viz., **Kautex Plastic Technology Gujarat Private Limited** is to be merged with the Petitioner /Transferee Company.

After hearing the Counsel for the Petitioner /Transferee Company and considering the material on record,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the transferee company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. **1st April, 2018.**

The Transferor Company or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the tribunal in the above matter for any directions that may be necessary.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL